

THE WALL STREET JOURNAL.

What's News

Business & Finance

- ◆ **The Fed warned that** tariffs were raising risks of higher unemployment and higher inflation when officials unanimously agreed to hold interest rates steady. **A1**
- ◆ **U.S. stocks rose after** the U.S. and China firmed up plans for talks and the Fed left rates unchanged. The S&P 500, Dow and Nasdaq gained 0.4%, 0.7% and 0.3%, respectively. **B10**
- ◆ **Former Credit Suisse** employees collectively stand to make up to \$150 million for quietly telling U.S. authorities that Credit Suisse failed to fulfill a pledge made years ago to stop helping Americans evade taxes. **A1**
- ◆ **Disney reported** strong quarterly earnings and said it would build a theme park in Abu Dhabi, expanding its Experiences business in a major new market. **B1**
- ◆ **Electric-vehicle sales** across most brands fell around 5% in the U.S. in April, while the broader car market grew 10%. **B3**
- ◆ **Mitsubishi plans to** sell an electric vehicle developed by a unit of Foxconn in the second half of 2026, part of efforts to beef up its EV offerings. **B4**
- ◆ **CrowdStrike said it** would cut about 500 jobs, or 5% of its global workforce, as part of the cybersecurity company's drive for efficiencies. **B4**
- ◆ **Uber swung to a** first-quarter profit as riders ordered more trips on the digital taxi service, but missed Wall Street revenue estimates. **B3**
- ◆ **Novo Nordisk shares** rallied after first-quarter earnings exceeded expectations with a 14% gain and the Danish drugmaker's guidance met expectations. **B4**

World-Wide

- ◆ **Cardinals cast** their first vote for a new pope, but black smoke rising from the chimney of the Sistine Chapel indicated no contender had reached the necessary majority on Wednesday. **A10**
- ◆ **India and Pakistan** faced off militarily after a militant attack on tourists that New Delhi blamed on Islamabad, but the nuclear-armed neighbors appeared to be trying to avoid a full-blown conflict. **A1**
- ◆ **Russia and Ukraine** stepped up strikes ahead of Moscow's World War II commemorations, with Russia closing airports and canceling scores of flights amid a wave of drone attacks. **A9**
- ◆ **Trump is expected** to announce the framework of a trade deal with the U.K., the first in what the White House hopes is a series of pacts. **A2**
- ◆ **Beijing's outreach** to Washington over fentanyl created an opening for trade talks between the two. **A2**
- ◆ **Pro-Palestinian** protesters took over the main library at Columbia University, and several people were taken into custody by police. **A3**
- ◆ **A jury acquitted** three former Memphis police officers of state charges in the 2023 fatal beating of Tyre Nichols during a traffic stop. **A3**
- ◆ **Libya's two rival** governments said they hadn't agreed to accept migrants deported from the U.S. **A4**
- ◆ **Trump said he** would nominate as surgeon general Casey Means, a doctor and wellness influencer who wrote a book that appealed to Health Secretary RFK Jr. **A7**

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Conclave's First Vote Produces No Decision



WITNESS: People watch on a screen in the Vatican as cardinals file into the Sistine Chapel to begin selecting a new pope. **A10**

Next Pope Faces Financial Mess Francis Struggled to Clean Up

Soaring deficit and murky accounting practices persist at the Vatican

The ailing pope was short of breath, sitting beneath a cherished painting of Mary, Untier of Knots, as he worked

By Drew Hinshaw,
Joe Parkinson and
Stacy Meichtry

through a last-ditch plan to disentangle the finances of one of the world's most opaque bureaucracies.

For over a decade, Francis

had struggled to bring some transparency to the Vatican's shadowy balance sheet. Now, in the final weeks of his life, advisers were filtering in and out of his austere reception room, presenting the details of a microstate awash in priceless treasures but tumbling deeper into debt. The budget deficit had tripled since the Argentine took office, and the pension fund faced up to 2 billion euros in liabilities it wouldn't be able to fund.

The first Jesuit Pope was exhorting clergy to live frugally—but pinching pennies alone would not relieve the financial crisis facing the seat of the Church. The Vatican was

increasingly relying on museum ticket sales to fund its civil service, its worldwide network of embassies and the Papal Swiss Guard. The city-state serves seven million visitors a year and a global flock, without collecting taxes.

After more than a month of discussion, Francis settled on one solution: Ask the faithful for more money.

On Feb. 11, he signed a *chirografo*, or papal directive, to boost donations. Three days later, he was hospitalized with double pneumonia. On April 21, he died, leaving his soon-to-be-chosen successor with a similar economic puzzle to the one Francis had inherited.

"Those of us who live and work here are obviously all too aware," said a cardinal who oversaw the Vatican's humanitarian outreach under Francis, Michael Czerny. Cardinals gathering to elect a pope were given what he described as a "thorough report" on the Vatican's finances: "I am concerned because of the effects on our mission, our staff, our programs."

Twelve years ago, the new Bishop of Rome was Francis, elected with a mandate to fix the Vatican's finances. But Francis wasn't prepared for the degree of resistance at the Curia, as the Vatican bureau-

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Fed Holds Steady, Citing Risks Of Tariffs

Powell warns of the potential for higher inflation and slower growth

By NICK TIMIRAO

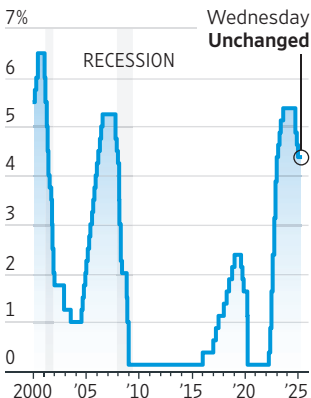
The Federal Reserve warned that tariffs were raising risks of higher unemployment and higher inflation when officials unanimously agreed to hold interest rates steady on Wednesday.

"If the large increases in tariffs that have been announced are sustained, they're likely to generate a rise in inflation, a slowdown in economic growth, and an increase in unemployment," Fed Chair Jerome Powell said at a news conference.

Tariffs represent a shock that can decrease an economy's ability to supply goods or services while sending up prices. The unpredictable roll-out of increased duties on imported goods threatens to sap

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Federal-funds rate target



Note: Chart shows midpoint of target range since 2008.
Source: Federal Reserve

Bankers To Get Big Reward for Exposing Tax Dodge

By ARUNA VISWANATHA
AND MARGOT PATRICK

Credit Suisse pleaded guilty a decade ago to helping Americans evade taxes by stashing cash and assets overseas and pledged to stop doing so.

Now former bank employees collectively stand to make up to \$150 million for quietly telling U.S. authorities that Credit Suisse wasn't living up to its promise.

A Credit Suisse unit this week pleaded guilty again to helping Americans hide their assets to evade taxes and agreed to pay \$511 million for not meeting the terms of a 2014 settlement with U.S. authorities. Credit Suisse is now owned by UBS after an emergency 2023 rescue.

Credit Suisse admitted that it opened more than two dozen potentially tax-dodging U.S. accounts after the 2014 deal, hung on to other big accounts that it was supposed to have reported and closed or helped wealthy clients move their assets without telling the Internal Revenue Service, the plea agreement said.

In all, there were at least 475 accounts that Credit Suisse should have known were tied to Americans as of around 2018, holding \$4 billion, the filing said.

UBS said it was pleased to have resolved another of Credit Suisse's legacy issues.

Two bankers have so far emerged as whistleblowers in the case, though it is possible

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INSIDE



U.S. NEWS

The billionaire hotel scion feeling the heat in Trump's fight with Harvard. **A4**

SPORTS

The next phase of football's evolution: wearable devices to communicate. **A14**

India, Pakistan Square Off But Seek to Contain Fallout

India and Pakistan faced off militarily after a militant attack on tourists that New Delhi blamed on Islamabad, but the nuclear-armed neighbors appeared to be calibrat-

By Tripti Lahiri,
Waqar Gillani
and Aakash Hassan

ing their responses to avoid full-blown conflict after decades of relative peace.

Pakistan threatened to hit back after retaliatory strikes by India on nine locations across Pakistan and Pakistan-controlled Kashmir overnight Wednesday. But Islamabad said its response would corre-

spond to actions taken by New Delhi, which had described its attacks as non-escalatory.

Despite the violence, including cross-border shelling on Wednesday, both sides sought to display a measured approach as the Trump administration urged them to avoid further escalation.

New Delhi said its strikes were based in part on intelligence about imminent attacks like the one that killed 26 people in Indian-administered Kashmir in April. India didn't give a death toll from the overnight strikes but said it avoided collateral damage.

The office of Prime Minister Shehbaz Sharif of Pakistan

called India's actions on Wednesday an unlawful act of war. Sharif later said Pakistani pilots had destroyed five Indian fighter aircraft in an hourslong battle while remaining in their own airspace.

"This was our answer to them," he said.

India declined to comment on the assertion, for which Pakistan didn't provide evidence. Locals in some parts of Kashmir reported seeing planes crash overnight.

Islamabad said India had killed 31 civilians in the strikes.

Pakistan has denied involvement in the April attack, in which militants shot and

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Fliers Braced for Armageddon. They Got Shorter Lines Instead.

Wednesday's big switch to REAL IDs turned out more like a modern-day Y2K

High winds, tech glitches, broken airplane toilets. Plenty of things can snarl air traffic these days.

By Dawn Gilbertson,
Jacob Passy and
Alison Sider

A nationwide overhaul of the IDs that travelers need to get through security isn't one of them.

The big switch to REAL IDs—those security-enhanced driver's licenses and ID cards with a star or flag in the corner—was supposed to make May 7 the day of travel Armageddon. Instead, it turned out more

like a modern-day Y2K.

At airports across the country, travelers who had been bombarded with dire warnings encountered little resistance. People who didn't have the newly required documentation were handed slips of paper and redirected to lines that were often shorter. In Phoenix, our travel columnist made it through security without any ID, REAL or not. Even Newark was calm.

The enforcement start date, during a typical midweek travel lull and outside of peak periods like spring break, may have provided some reprieve. Troubles could escalate as a crush of sum-

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High-School Juniors Attract Job Offers Topping \$70,000

By TE-PING CHEN

PHILADELPHIA—Elijah Rios won't graduate from high school until next year, but he already has a job offer—one that pays \$68,000 a year.

Rios, 17 years old, is a junior taking welding classes at Father Judge, a Catholic high school in Philadelphia that works closely with companies looking for workers in the skilled trades. Employers are dealing with a shortage of such workers as baby boomers retire. They have increasingly begun courting high-school students like Rios—a strategy they said is likely to become more crucial in the coming years.

Employers ranging from the local transit system to

submarine manufacturers make regular visits to Father Judge's welding classrooms every year, bringing branded swag and pitching students on their workplaces. When Rios graduates next year, he plans to work as a fabricator at a local equipment maker for nuclear, recycling and other sectors, a job that pays \$24 an hour, plus regular overtime and paid vacations.

"Sometimes it's a little overwhelming—like, this company wants you, that company wants you," said Rios, who grew up in the Philadelphia neighborhood of Kensington around drug addicts and homelessness, and said he was determined to build a better

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